Unfortunately, too many Indian corporations with little foreign currency earnings leave foreign currency borrowings unhedged, so as to profit from low international interest rates. This is a dangerous gamble for reasons described above and should be avoided – as the *Economic Survey 2012-13* suggests.

GOLD IMPORTS – A MENACE!

Rising gold imports has been among the major external sector concerns[18] for India in the *recent times*. India is one of the largest importers of gold in the world, with import growth of **11.2** per cent in terms of quantity and **39.0** per cent in terms of value during 2011-12. Gold is the **second** major import item of India ***after POL*** and constitutes **11.3** of its imports in 2011-12 in value terms.

The rise in imports of gold is one of the factors contributing to India's high trade deficit and CAD in 2011-12, forming **30** per cent of its trade deficit. The RBI in its draft report of the *Working Group to Study 'Issues Related to Gold Imports and Gold Loans by NBFCs in India'* has stated that if gold imports in India had grown by 24 per cent (an average of growth in world gold demand during past three years) instead of 39 per cent in 2011-12, the CAD would have been lower by approximately US$ 6 billion and the CAD-GDP ratio would have been 3.9 per cent instead of 4.2 per cent.

Globally, the demand for gold is rising, mainly due to demand from emerging economies like *China* and ***India***. The major source countries for import of gold include Switzerland, responsible for **52** per cent of the total imports by India of raw gold during 2011-12 (which has led to an unfavourable bilateral balance of trade for India), followed by the UAE (17.6 per cent), and South Africa (11.5 per cent). The rise in gold imports is due to many factors:

- The love of Indians for the yellow metal is well known – India is one of the largest consumers of gold in the world with consumption increasing from 721.9 tonnes in 2006 to 933.4 tonnes in 2011 and 612 tonnes in the first three quarters of 2012, accounting for around